



Food Services Industry Overview

AURUM – Investment and Research Society

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Food Services Industry – Unpacking a story of growth and value

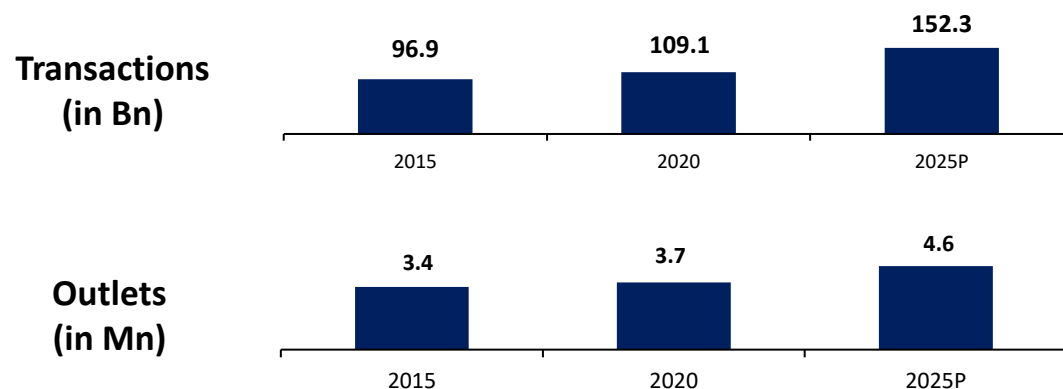
Overview

- The Indian food services market has **gained momentum** in the last decade due to **changing consumption patterns**
- The Indian food services market is classified into **two segments, organized and unorganized**, based on three key characteristics: accounting transparency, organized operations, and outlet penetration.
- Any food services outlets that do not conform to these parameters are considered to fall within the unorganized segment, which primarily includes dhabas, roadside small eateries, hawkers and street stalls
- India's **F&B market is highly underpenetrated** with a mere 27% organized market vs 62% unorganized

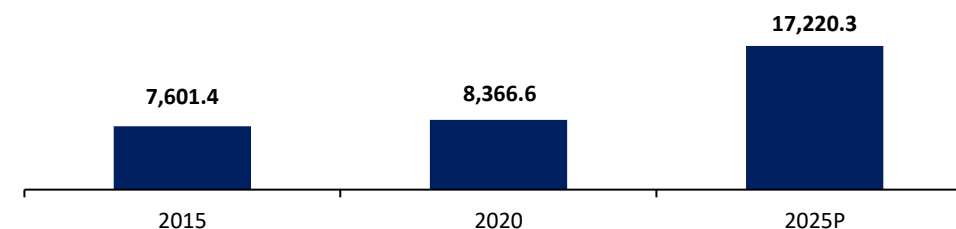
Key Players

Delivery Players	zomato	
Cloud Kitchens	 FreshMenu	REBEL FOODS BOX8
Food Services Players	 Domino's	 McDonald's DUNKIN'  THE GREAT KABAB FACTORY  STARBUCKS COFFEE
Fine Dining Restaurants	 BARBEQUE NATION	oh! Calcutta  TAJ

Increasing number of Transactions & Outlets

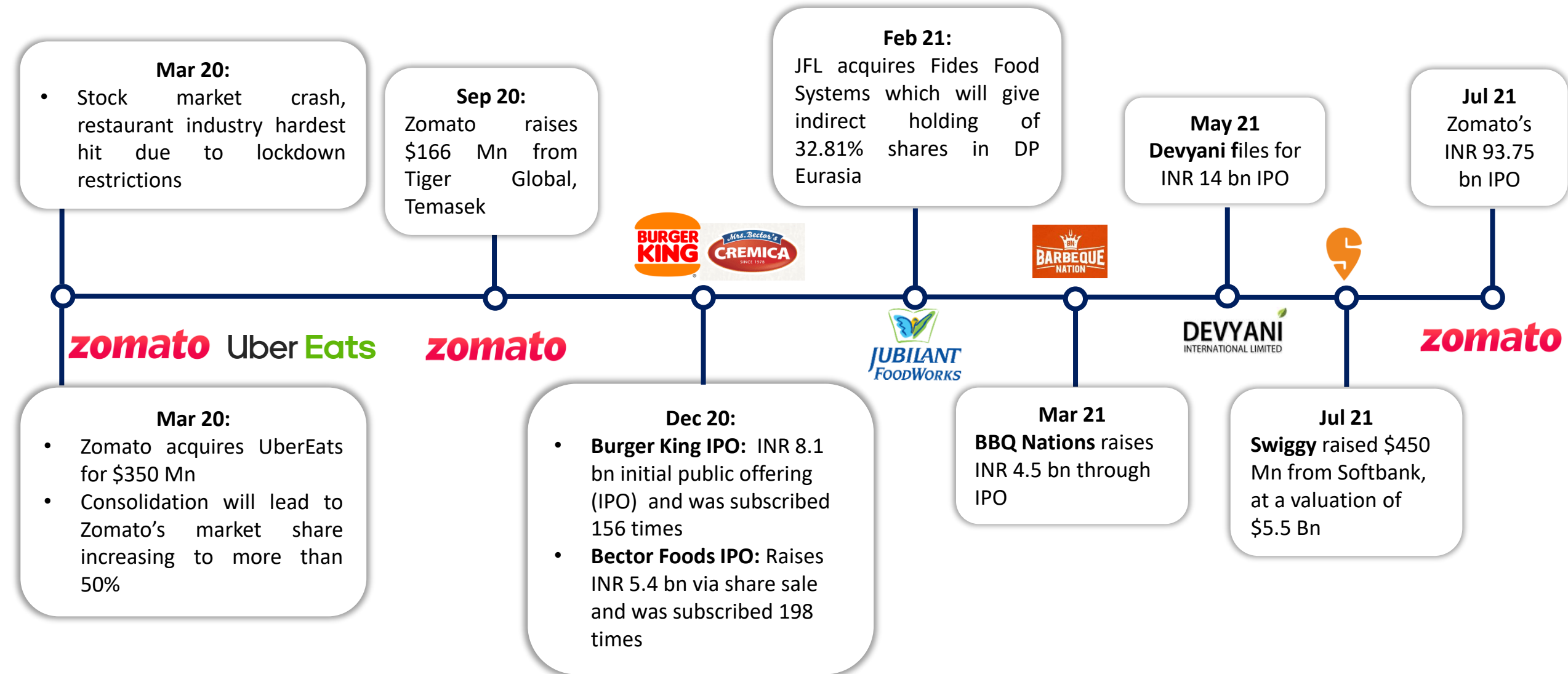


Increasing Value of Transactions (INR Bn)



Value of transactions is expected to increase at **CAGR of 15.5%** from FY20-FY25

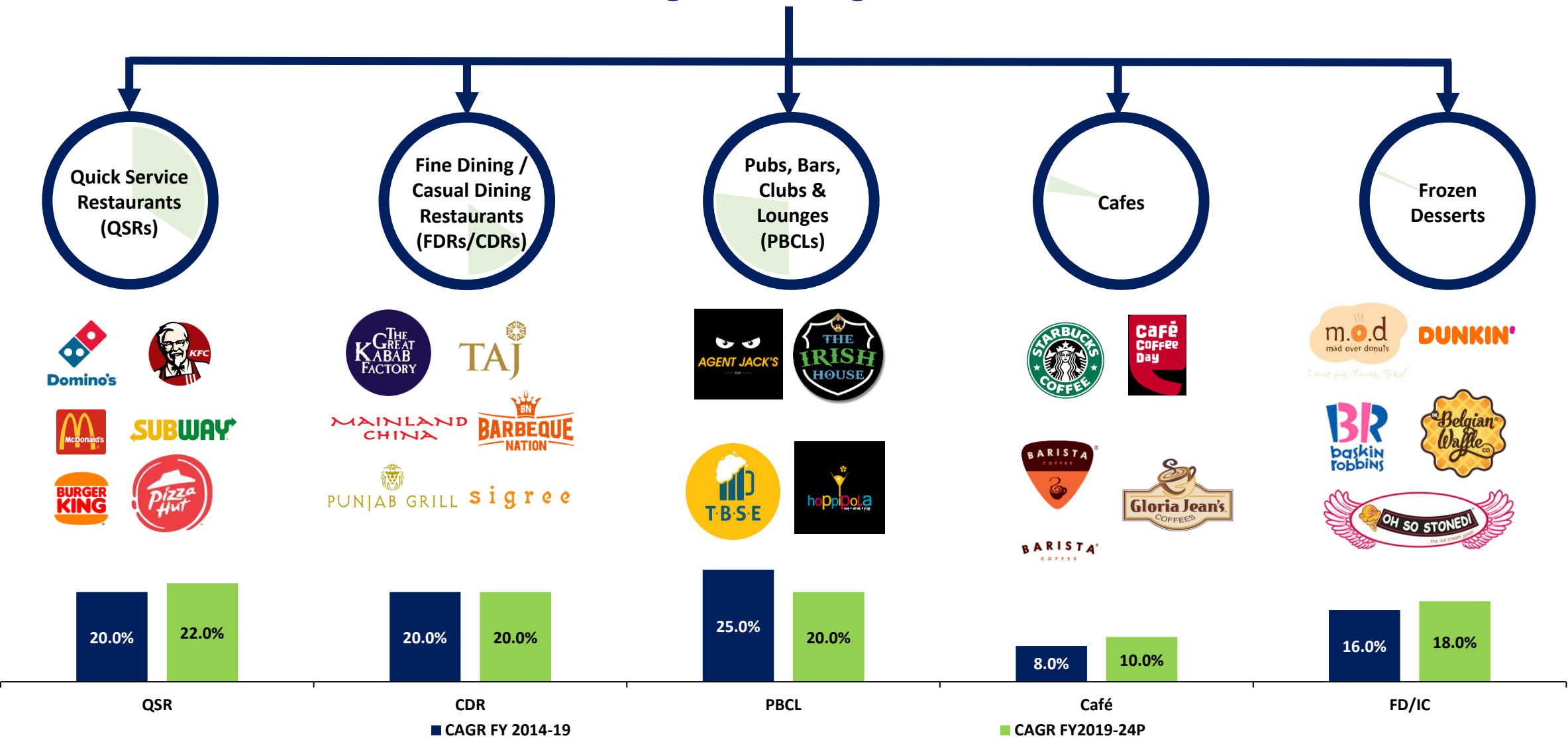
Companies have been on a fund raising spree with the market consolidating



QSR leading the way among all the other sub-segments



Organized Segment



Sources: DRHP (Burger King, Zomato, Devyani International)

Key players enjoy high gross margins with CDRs having comparatively higher ATV



Format	QSR	QSR	QSR	QSR	CDR	CDR
Business Model	Master Franchisee	Master Franchisee	Multiple Franchisee	Joint Venture	Multiple Franchisee	Own+ Franchisee
Average Ticket Value (INR)	500-550	550-600	500-550	500-550	1,450-1,550	3,500-3,750
COGS (%)	22-23	34-36	34-36	35-36	25-26	34-35
Gross Margin (%)	77-78	64-66	64-66	64-65	74-75	65-66
Royalty (%)	3-4	4-5	7-8	7-8	7-8	NA
Average Store Size (sqft.)	1400-1600	2600-3200	2500-3000	1300-1400	2600-3200	4800-5400

Sources: DRHP (Burger King, Zomato, Devyani International)

The industry sees strong tailwinds after a rough 2020 due to COVID...

	QSR	FDR/CDR	Cafes	PBCL
Initial Impact (Until H1)	Initial lockdown and spread of Covid-19 hampered QSR revenues significantly	The segment was hit significantly due to strict lockdown and consumers' reluctance to dine-out	Lockdown restrictions hampered these outlets' revenues as well	Lockdown restriction had significant impact and furthermore deliveries weren't of much help
Subsequent Impact (Until H2)	Higher dependence on take-away transactions	Recovery happened to some extent as restaurants started providing food at consumer's doorstep	Owing to WFH policies, these outlets were slow to recover	They remained shut for a significant part of H2 as well
Outlook 2021	Better recovery expected owing to their suitability for take-aways	FDR/CDR operators will invest significantly in hygiene and safety	Recovery of income levels of consumers is expected to drive the revenues for these channels	Demand from urban consumers, especially youth will drive recovery in 2021



Significant Negative Impact



Moderate Negative Impact



No Impact



Moderate Positive Impact



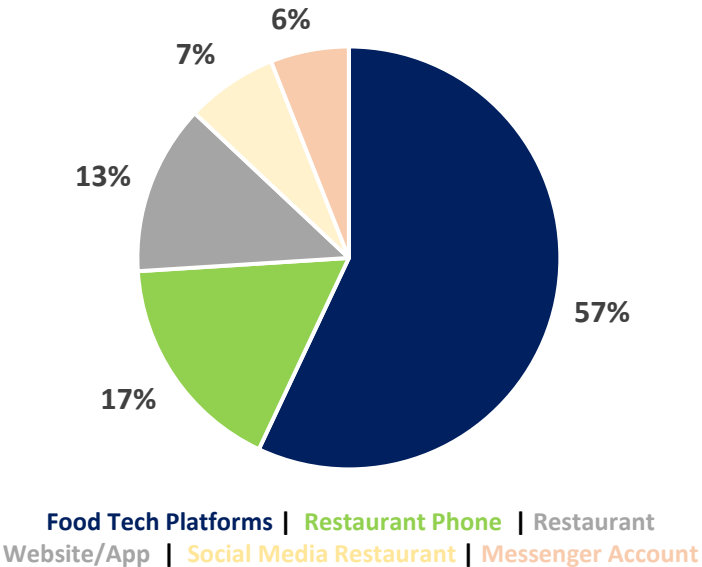
Significant Positive Impact

...augmented by technology to mitigate COVID-related impediments...

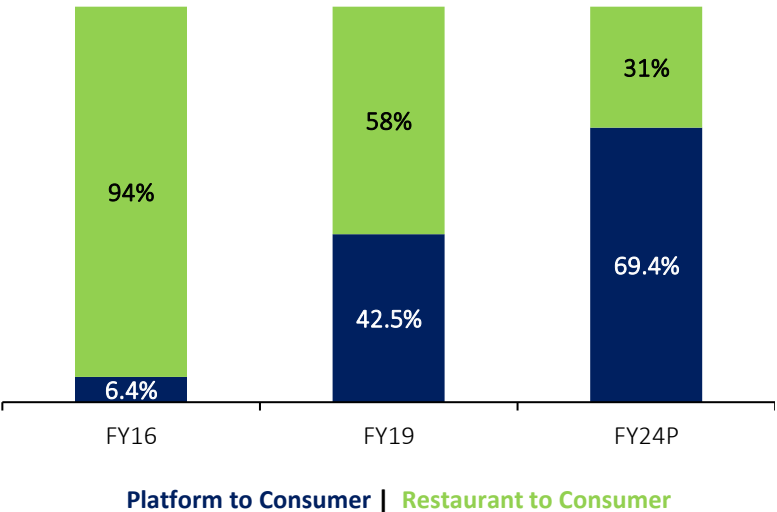


Food Tech platforms primary choice for ordering in, poised to grow

Channels for food ordering in India (2020)



Share of Platforms & Aggregators



Consumers have been able to place an order that is prepaid on the KFC application, mSite, website and walk in orders



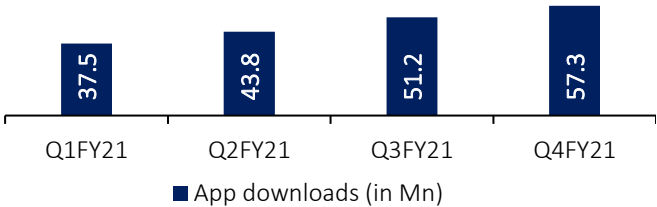
INR 770 Mn
Delivery Revenue
In FY21



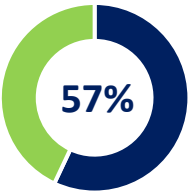
2.6 Mn+
App Downloads



Increased use of technology in the food service industry is a key trend as it is visible from the number of app downloads for Dominos



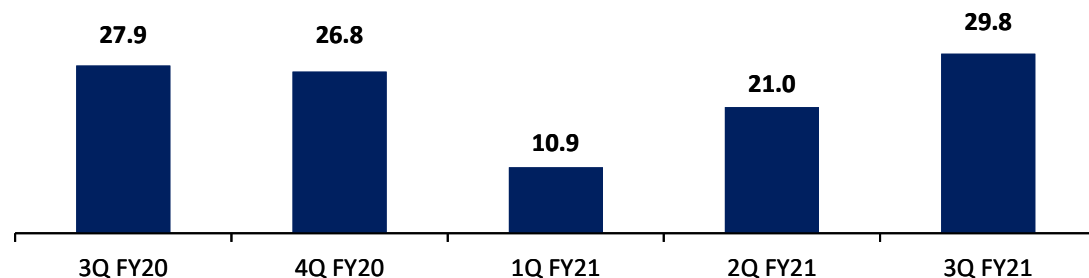
Share of deliveries done by aggregator platforms is **expected to increase** due to deep discounting models



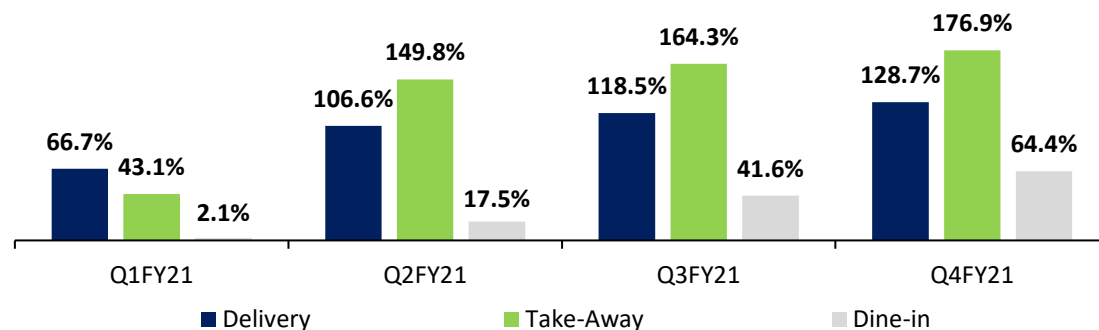
Food Tech platforms like **Zomato, Swiggy & Dominos** grabbed 57% of share for food ordering in 2020

Delivery Channels recovering faster than expected

Sharp recovery in GOV for Zomato post Covid-10 related lockdowns



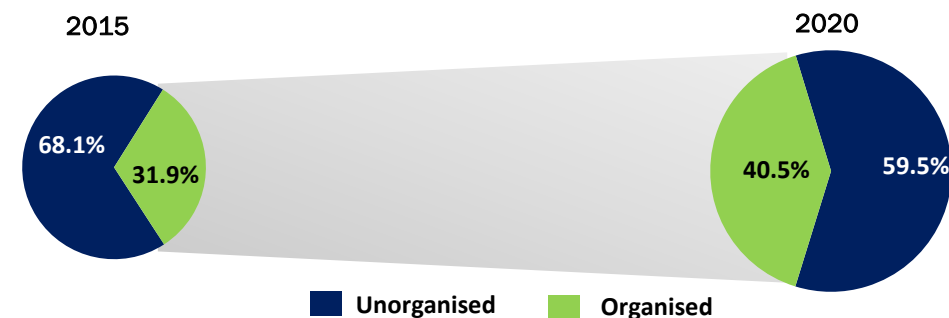
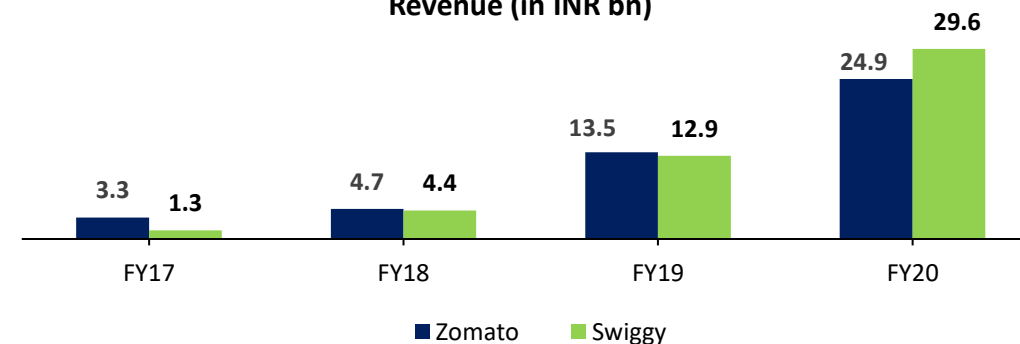
Domino's Sales Recovery Trends



- **Zomato experienced the highest order velocity in December 2020** and it also reached its all time highest GOV in 3QFY21
- **Domino's also experienced a strong recovery** in its delivery and takeaway segment showcasing consumer's change of behaviour

Aggregators: Organizing the unorganized

Revenue (in INR bn)



- **Zomato and Swiggy provided technological support as well as delivery fleet** for individual restaurants for whom owing a delivery fleet and investment in technology would not have been possible would not be viable

...and Cloud Kitchens having their cake and eating it too

Adapting to Indian taste pallet



From biryani to khichdi - Rebel Foods, Ola Foods, FreshMenu are making cloud kitchen's presence more vivid through expanding its offering across cuisines

Capturing all spectrum of food habits



From morning breakfast to afternoon snacks, niche players like Wow Momo, Chaayos are capturing our dining table round the clock

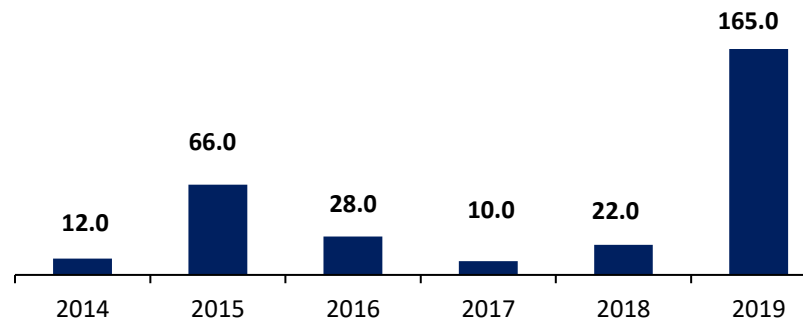
Shaping new trends & comfort



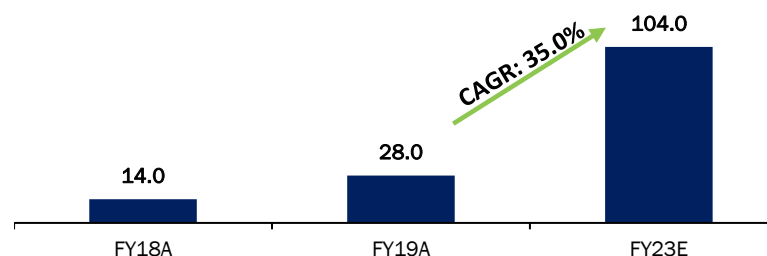
From Butter Chicken and Dal Makhani to Thai curries – Do it Yourself (DIY) kits provides the ready to cook packages, rationalizing outside food vs home-cook food dilemma

Cloud kitchen attracting Investors' appetite

Cloud Kitchen Funding



GMV of cloud kitchen in India (in INR bn)



The proliferation of cloud kitchens in the future will stand as a witness to the rise in demand for home deliveries and growing reluctance to visit regular dine-in outlets



...teamed up to develop and operate 250 cloud kitchens of Wendy's in India

 Dec, 2020



Raised INR 210 Mn in series B funding

 Jan, 2021



After scaling down its food delivery business, Ola Foods have launched 9 home-grown cloud kitchen brand

A look at the IPO happenings in the industry

Company	IPO Date	Gross proceeds (\$ bn)	Offer price (\$)	Listing price (\$)	Market Cap At Listing (\$ bn)	First day POP	EV / Sales (At listing)	Market Cap Current (\$bn)	EV / Sales (Current)	Annual Stock Return	3 Yr Sales CAGR
 JUBILANT FOODWORKS	Feb-10	0.04	2.0	2.2	0.2	11%	4.80x	5.5	12.73x	83%	15%
 BURGER KING	Dec-20	0.11	0.8	1.5	0.3	88%	3.04x	0.9	14.07x	190%	81%
 MRS. BECTOR'S CREMICA	Dec-20	0.07	3.9	8.1	0.2	106%	4.54x	0.3	2.78x	45%	8%
 BARBEQUE NATION	Apr-21	0.06	6.8	6.7	0.3	-2%	2.40x	0.5	7.93x	76%	20%
 GRUBHUB	Apr-14	0.20	26.0	40.8	2.7	57%	20.81x				
 DELIVERY HERO	Jun-17	0.53	28.9	37.0	5.0	28%	13.16x	36.2	12.57x	25%	76%
 Meituan	Sep-18	4.20	8.8	9.4	52.8	7%	10.09x	224.4	11.46x	49%	49%
 DOORDASH	Dec-20	NA	102.0	182.0	32.4	78%	32.78x	56.6	18.54x	74%	131%
 DELIVEROO	Mar-21	2.10	5.4	4.6	10.5	-15%	4.10x	7.6	4.40x	-21%	63%
 ZOMATO	Jul-21	~ 1.3	1.0		~ 8.6		25.00x*				136%



Indian FSR players



Global food delivery players

* 25.00x FY21 sales, 14.50x FY20 sales
Exchange Rate: 1 USD = 73.11 INR